

FINANCIAL MARKETS AND INSTITUTIONS

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Course Logistics (1/2)

✓ Syllabus contains all the information you need:

- List of topics
- Book (F.S. Mishkin and S.G. Eakins, “Financial Markets & Institutions”, Pearson Education, Ninth Edition)
- Office hours (by appointment)

✓ Exam:

- Only a final exam, on the entire course material
- One hour
- 31 multiple choice questions on theory as well as analytics
- The exam dates will soon be available online
- Exam grading (100% non-negotiable)

Course Logistics (2/2)

✓ Online Tests

1. Four problem sets (and their solutions) will be posted on Bboard. Posting dates are in the syllabus
2. Each problem set covers the corresponding simultaneous course material
3. The problem sets are not graded

➤ Class material :

- Lecture slides and some exercises (again, optional and not graded) ...
- ... posted just before class on Bb

Class Attendance

- ✓ Attendance is not compulsory
- ✓ However, it is **strongly encouraged**: some topics are analyzed more in-depth in class than in the book
- ✓ Similarly, **only studying class material is not sufficient** *for the exam*: important to attend and to study the book too!!!

Class 30006 – Financial Markets and Institutions
Università Commerciale Luigi Bocconi
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Overview of the Financial System (Chapter 2)



Plan of today

Finance and Financial Markets (FM):

- role (for the economy)
- purpose
- players (trading in FM)
- types (of FM)

Financial Intermediaries (FI):

- why they exist and what they do
- main types (of FI)
- role (for the economy)
- why they are regulated (some “heavily”)

Chapter Preview

“Big picture” questions:

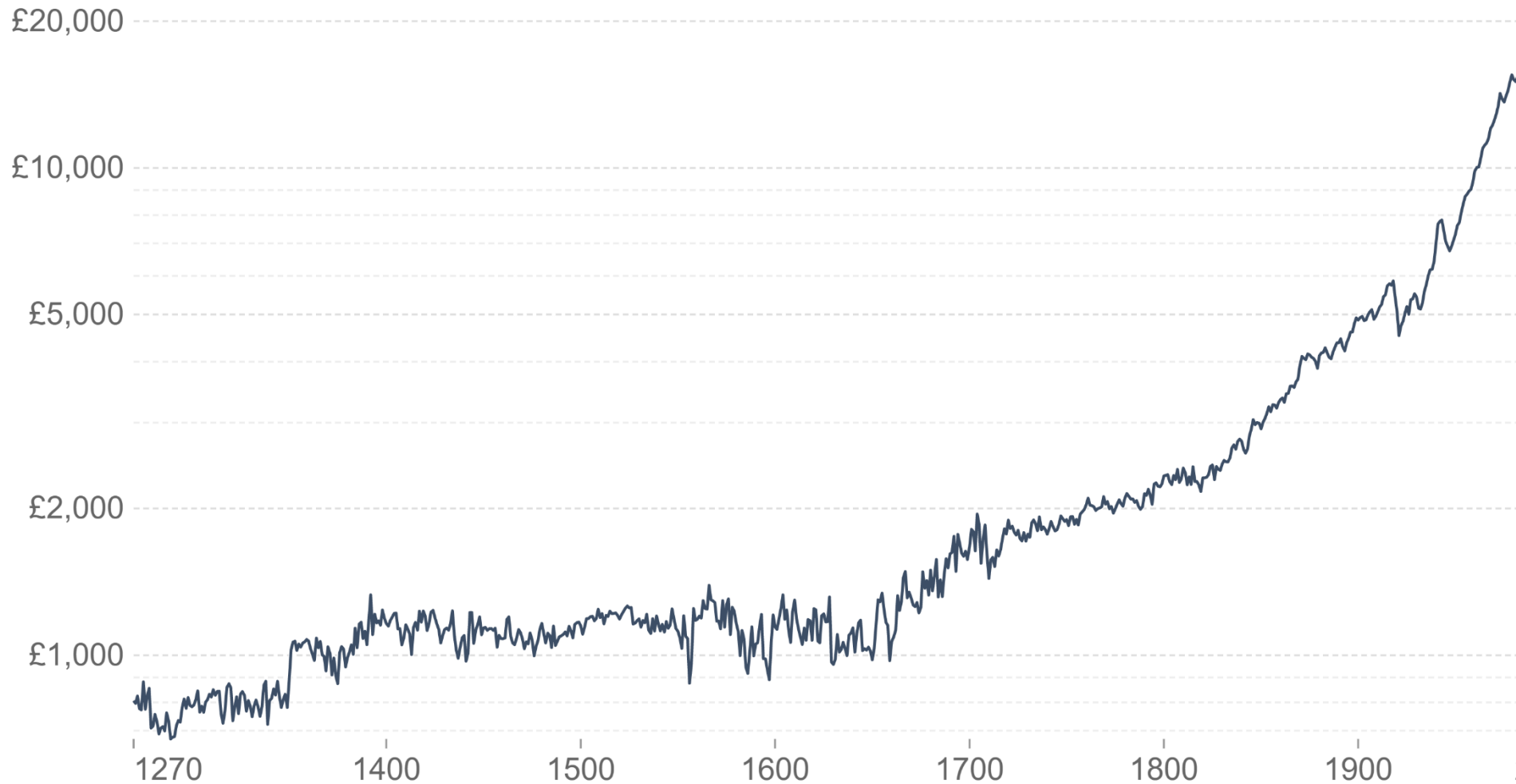
1. WHY DO WE NEED A FINANCIAL **MARKET**?
2. WHY DO FINANCIAL **INTERMEDIARIES** EXIST?

An even more fundamental question:

IS FINANCE GOOD FOR THE ECONOMY?

GDP per capita in England

Adjusted for inflation and measured in British Pounds in 2013 prices



Source: Broadberry, Campbell, Klein, Overton, and van Leeuwen (2015) via Bank of England (2020)

Note: Data refers to England until 1700 and the UK from then onwards.

OurWorldInData.org/economic-growth • CC BY

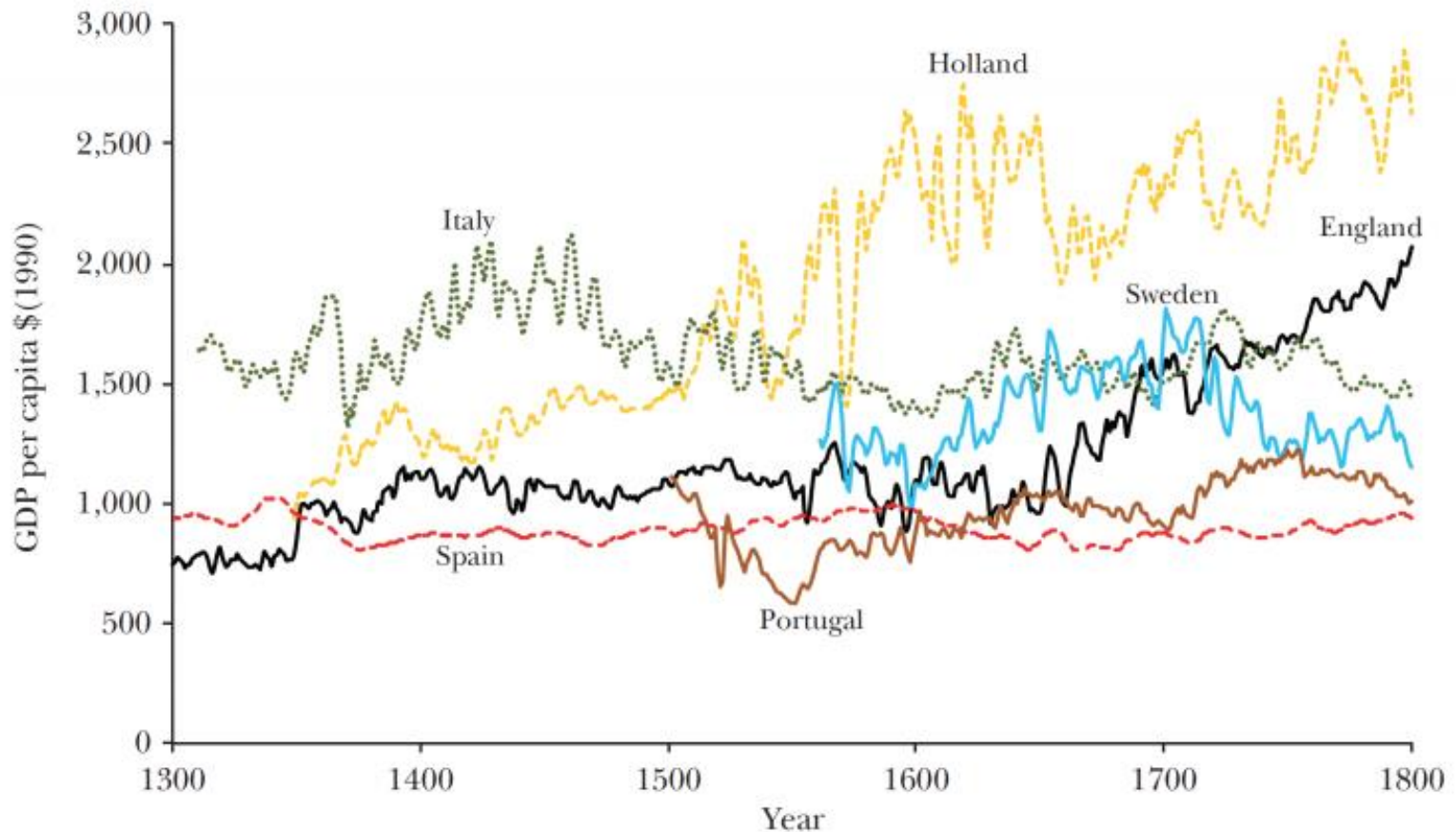
Finance and Economic Growth

- ✓ Throughout most of human history, no (per capita) economic growth
- ✓ Zero-sum game: more people meant lower incomes
- ✓ Not because of the lack of **technological innovations**:
 - windmill, crop-rotations, even new crops from the Americas...
- ✓ These pushed incomes up but only temporarily
- ✓ Sustained growth per capita only really picked up after 1650
... why?

Sustained growth in England and Holland

GDP per Capita in Selected European Economies, 1300–1800

(three-year average; Spain eleven-year average)



Finance: role and definition

- ✓ **Finance played a major role:** without financing, difficult to:
 - invest in capital (for machinery, infrastructure, let alone in science, medicine etc...)
 - exploitation of natural and human resources in the colonies also helped. But not the only factor: otherwise Spain would have been the richest country of all!
 - trade: trade by Dutch and British merchants required financing (and insurance)
- ✓ Finance is a **promise to future payments**
 - (the word “*credit*” comes from Latin *to trust*)
- ✓ But the financial system can be sustained only with a belief in growth
 - ex: it is profitable to lend if there are credible growth opportunities
 - otherwise financing (e.g.: credit with interest) is not possible

The Purpose of Finance

- ✓ In the economy funds are not distributed equally:
 - Some have **surplus** of funds (*savers ... lenders*)
 - Others have **shortage** of funds (*spenders ... borrowers*)
- ✓ **Key idea:** create an opportunity of exchange
- ✓ The function of the financial sector
 - channel funds **from** the first group (“*surplus*”) that lacks productive investment opportunities ...
 - ... to the second group (“*shortage*”), that has productive opportunities
 - both parties better off:
 - spenders can overcome their shortage of funds
 - savers make additional income from interest
- ✓ *In this sense ... financial markets and financial intermediaries are critical for producing an efficient allocation of capital in the economy* (**Efficient Use of Capital**)

What most people think about finance

Financial markets are unproductive casinos where rich people place their bets

- If they win, **everybody else loses**
- If they lose, **everybody else still loses**

Regulation should protect us, but it does not because the industry lobbied the government hard to maintain its privileges

Players in Finance

Savers (lenders)

1. Households
2. Business firms
3. Government
4. Foreigners

Spenders (borrowers)

1. Government
2. Business firms
3. Households
4. Foreigners

Same players on both sides,
but *typically* ...

- ✓ *firms and governments lack funds (spenders)*
- ✓ *households have excess of funds (savers)*
- ✓ *foreigners: it depends...*

Assets in Finance

✓ **Asset** is a financial claim or a piece of property that is a store of value

Real Asset:

✓ Entity producing flow of **goods or services**

Examples:

- Land
- Plants, machinery
- People
- New invention
- Goodwill, reputation, brand (intangibles)

Financial Asset:

✓ Contract giving its owner **a claim to payments**

Examples:

- Currency
- Bonds, stocks
- Bank deposits, loans
- Insurance contracts
- Derivatives (futures, options...)

Ex of a loan:

- **borrower** issues **financial** assets (security/fin. instrument) and sells it to **lenders** and use the proceeds to buy other (**real**) assets (ex: an investment in plant)
- security: a claim on the issuer's future income or assets (a.k.a. financial instrument)

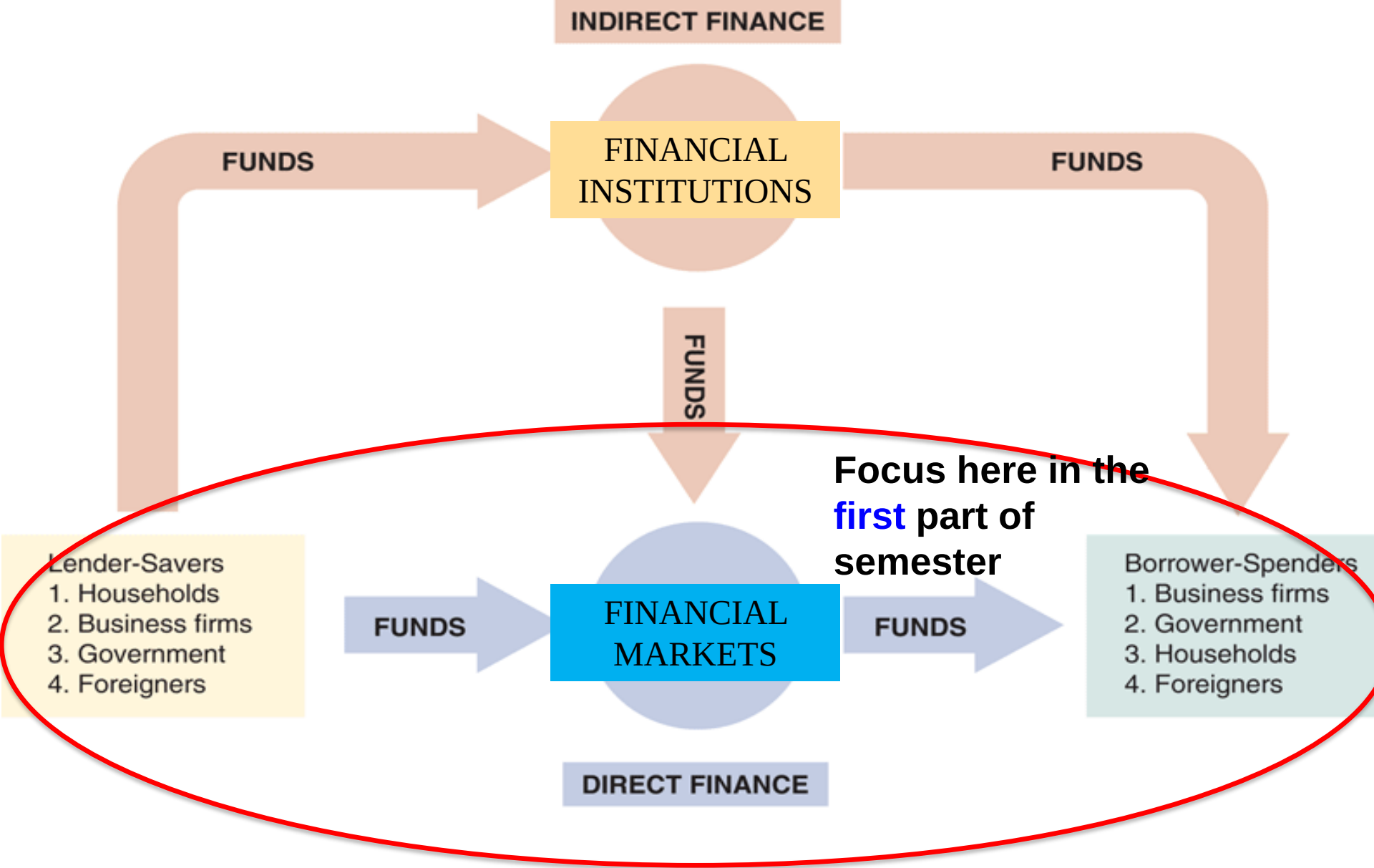
Two segments of Finance

1. Direct Finance [Financial *Markets* (= FM)]

- i. Borrowers borrow *directly* from lenders ...
- ii. ... in *financial markets* ...
- iii. by selling/issuing financial assets
 - Ex: a corporation sells newly issued stocks to investors

2. Indirect Finance [Financial *Intermediaries* (= FI)]

- i. Borrowers borrow *indirectly* from lenders ...
- ii. *via* financial intermediaries (established to source both loanable funds and loan opportunities)
- iii. by issuing financial assets
 - Ex: you borrow a mortgage (long term loan) from a bank (the financial intermediary)



The arrows show that funds flow from lender-savers to borrower-spenders via two routes: *direct finance*, in which borrowers borrow funds directly from financial markets by selling securities, and *indirect finance*, in which a financial intermediary borrows funds from lender-savers and then uses these funds to make loans to borrower-spenders.

Structure of Financial Markets (**Direct** Finance)

It helps to define financial markets along a *variety* of dimensions

There are many dimensions:

- ✓ type of securities (main: debt, equity)
- ✓ type of issuance (market, transacting party)
- ✓ by maturity (4 ex.: short/long term^(*))
- ✓ ...

You will all of these in the next 6 weeks

(*): short term is <1 year
long term is >=10 years
the interval in between is named intermediate term

Classifications of Financial Markets

by transacting parties:

1. Primary Market
2. Secondary Market

by security type(*):

1. Money markets
2. Capital markets
3. FX markets
4. Derivatives markets

1. Primary Market

Users of funds (4 ex.: corporations) raise cash by offering newly issued securities for sale

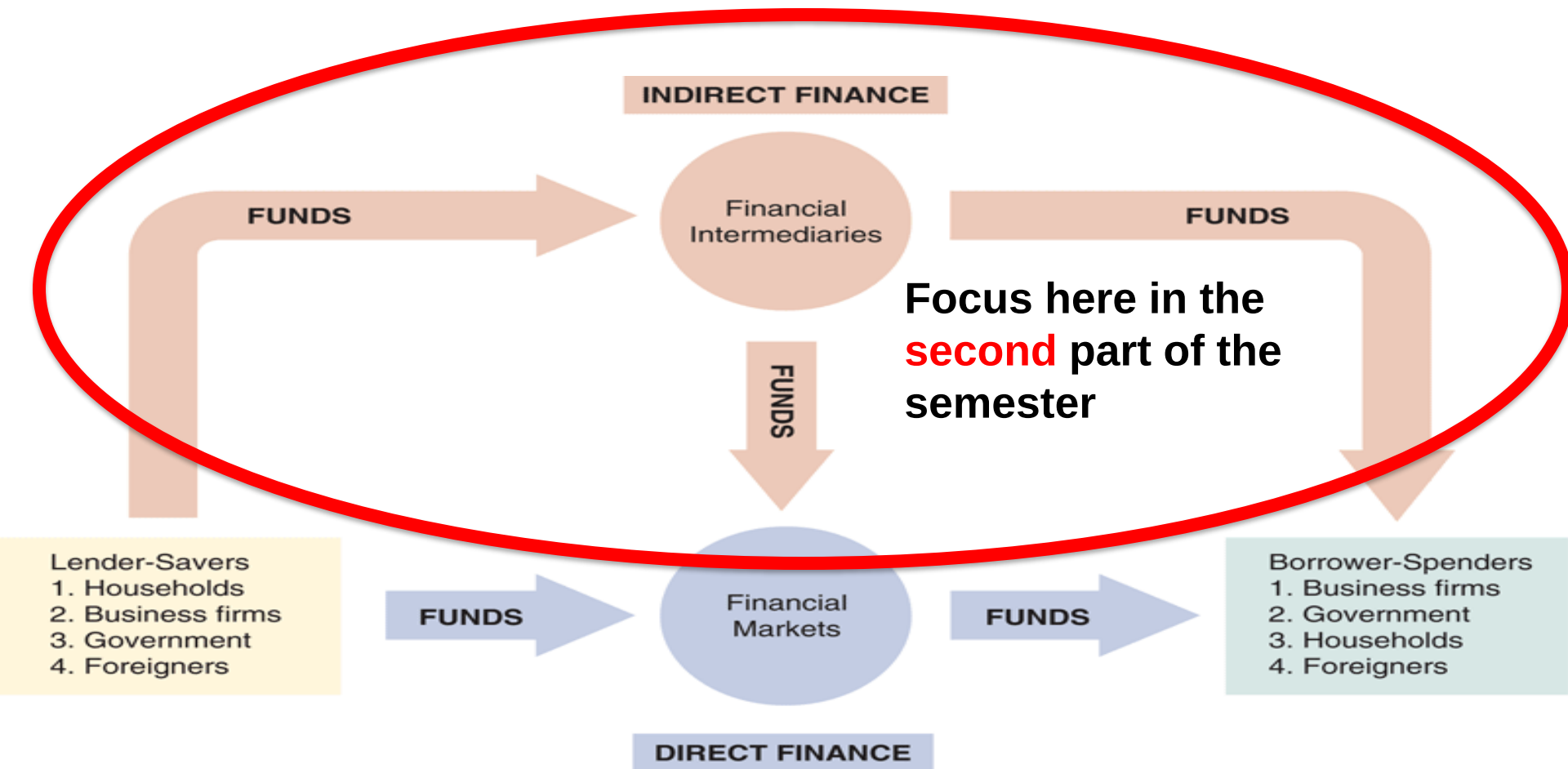
- usually using the services of underwriters, such as the investment bank

2. Secondary Market

Holders of securities (investors) trade already issued securities among each other

(*): specific lectures are dedicated to most of these types of FM's

Function of Financial Intermediaries: **Indirect** Finance



The arrows show that funds flow from lender-savers to borrower-spenders via two routes: *direct finance*, in which borrowers borrow funds directly from financial markets by selling securities, and *indirect finance*, in which a financial intermediary borrows funds from lender-savers and then uses these funds to make loans to borrower-spenders.

Function of Financial Intermediaries: **Indirect** Finance

Instead of savers lending/investing directly with borrowers, a financial intermediary (FI), such as a bank, plays as the *middleman*

The intermediary:

- ✓ ***obtains*** funds from savers (e.g.: households or firms)
- ✓ then ***makes*** financial investments (say loans) to spenders (e.g.: again to other households or firms)

Ex: a household starts a mortgage with an intermediary (e.g. the bank), not directly with savers (e.g.: the depositors, such as other households...).

Why do Financial Intermediaries exist?

Reasons for intermediation

- ✓ **Transaction costs:** fixed transaction costs give rise to
 - economies of scale
 - lower t.c.'s allow intermediaries to provide liquidity services
- ✓ **Risk sharing:** better ability to use
 - portfolio diversification techniques
 - risk sharing (=asset transformation, also to longer maturity...)
- ✓ **Asymmetric information:** specialized skills/tools to mitigate asymmetric information problems
 - adverse selection
 - moral hazard
- ✓ **Economies of scope:** intermediaries can use the same information source to provide multiple financial services
 - but conflict of interests, due to moral hazard!

Focus on Asymmetric Information

Asymmetric Information: one party of a transaction may know more (has more information) about the value of the trade than the other party.

Examples with 2 cases of Asymmetric Information

1. Adverse Selection (keywords: type; «lemons»)

The information problems before the transaction occurs.

Ex of loan:

- potential borrowers who are most likely to demand a loan are those who are most likely to produce adverse (bad) outcome: no repay debt!
- lenders become aware that average borrowers have bad credit risk and decide to increase interest rate or when credit risk is prohibitively high not to offer any loan at all.

Ex of insurance: buy life insurance after an unhealthy life

Optional reading: [Adverse Selection and Financial Crises](#)

Focus on Asymmetric Information

2. Moral Hazard (keywords: **action**; «run away with the money!»)

The information problems after the transaction occurs: the risk (“hazard”) that borrower engages in activities that are undesirable (“immoral”) from lender’s perspective.

Ex of a loan:

- A firm needs funds to implement relatively safe business plan. But after receiving funds, there is a higher incentive to implement **riskier business**
- Since this moral hazard increases risk of default, lenders increase ex ante interest rate or require collateral or, at the extreme, do not offer loan at all

Ex of insurance: burn the house if insured it before!

Various tools to mitigate both risks (AS and MH), such as screening, monitoring, collateral, etc...: some tools are in the financial contract, others give role of financial institutions

Optional reading: [Moral Hazard and Fed’s response during the Covid Pandemic](#)

Types of financial institutions

Depository institutions

- ✓ **Commercial banks:** take deposits from savers and make loans
- ✓ **Thrifts:** similar, but specialized in one loan segment (credit unions, savings banks, savings associations)

Contractual savings institutions

- ✓ **Insurance companies:** offer protection against adverse events (e.g. death, illness, injury, fire, theft, etc...)
- ✓ **Pension funds:** invest funds for retirement; taxation deferred

Investment intermediaries

- ✓ **Finance companies:** make loans, but (unlike commercial banks) are funded with short-term and long-term debt, or by issuing stocks
- ✓ **Mutual funds:** pool funds from many individuals and invest in diversified portfolios
- ✓ **Investment banks:** help firms issue securities and engage in related activities (brokerage, trading)
- ✓ **Hedge funds:** pool funds of small number of wealthy investors and invest on their behalf

Type of Intermediary	Value of Assets (\$ billions, end of year)			
	1990	2000	2010	2015
Depository institutions (banks)				
Commercial banks, savings and loans, and mutual savings banks	4,779	7,687	15,580	17,368
Credit unions	215	441	912	1,146
Contractual savings institutions				
Life insurance companies	1,367	3,136	5,176	6,350
Fire and casualty insurance companies	533	862	1,242	1,591
Pension funds (private)	1,629	4,355	4,527	8,517
State and local government retirement funds	737	2,293	2,661	5,641
Investment intermediaries				
Finance companies	610	1,140	1,439	1,474
Mutual funds	654	4,435	7,935	12,843
Money market mutual funds	498	1,812	2,755	2,716

Regulation of Financial Intermediaries

The financial system is heavily regulated in most advanced countries

✓ Main objectives:

1. reducing asymmetric information problems
2. ensuring financial stability

✓ Government regulation of FI's:

- restrictions on entry
- disclosure requirements
- restrictions on assets and activities
- deposit insurance
- limits on competition
- restrictions on interest rates

✓ Various agencies